

Fearnleys Dry Bulk Weekly

Aug 6, 2025



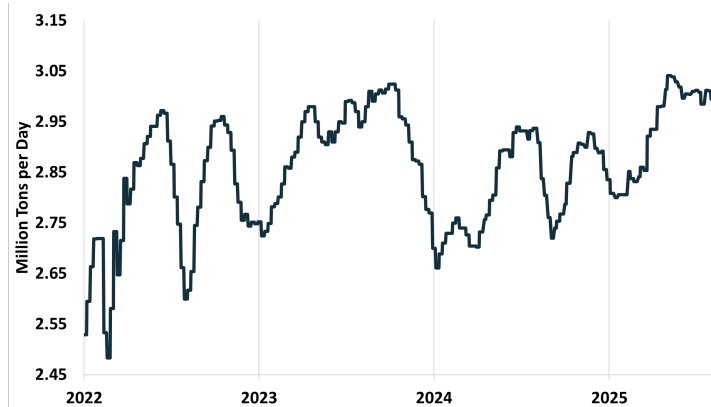
Capesize/Newcastlemax

Daily imported iron ore consumption in China remains high, at approximately 3 million tons per day, and the share of profitable steel mills in China continues to increase. Iron ore consumption is therefore likely to remain at current levels for at least the next month (the bottom left chart shows the correlation between hot metal output and the percentage of profitable steel mills). The BCI5TC has averaged about 21,000 USD pd through the period daily consumption has been around 3 million tons (May onwards).

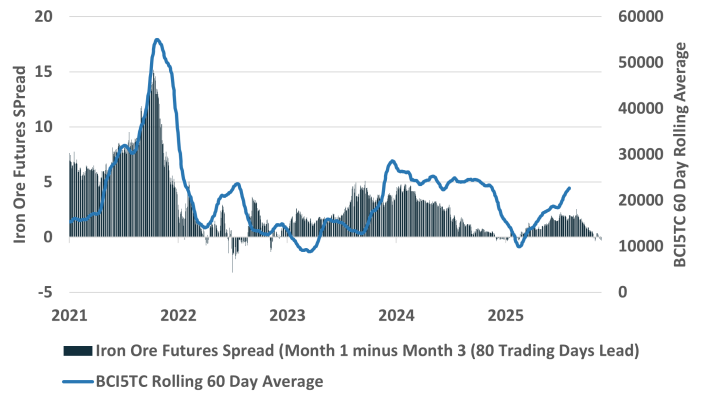
Looking beyond August, the narrowing spread between the 1st and 3rd months iron ore futures warns that market momentum might falter. The top right chart displays that there is a relationship between higher or lower spread and Capesize market direction. The spread often leads, usually by around 4 months.

However, Bauxite shipment volumes are likely to increase after August, so that could counter-act some of the possible weakness in iron ore demand.

China Daily Imported Iron Ore Consumption



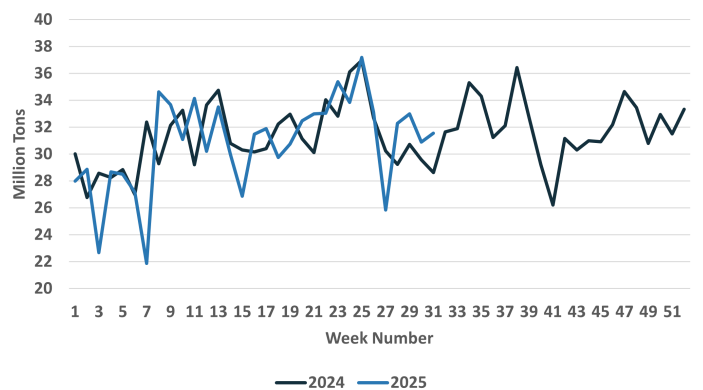
Iron Ore Futures Spread, 1st Month Minus 3rd Month (4 Months Lead) vs BCI5TC 60 Days Rolling Average



China - Share of Steel Mills that are Profitable, 7 weeks lead, vs Daily Hot Metal Output



Capesize/Newcastlemax Total Shipment Volumes, 2024 vs 2025





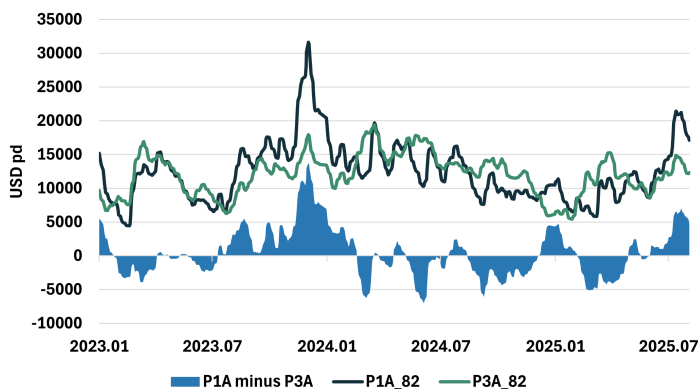
Panamax/Kamsarmax

Last week, we wrote:

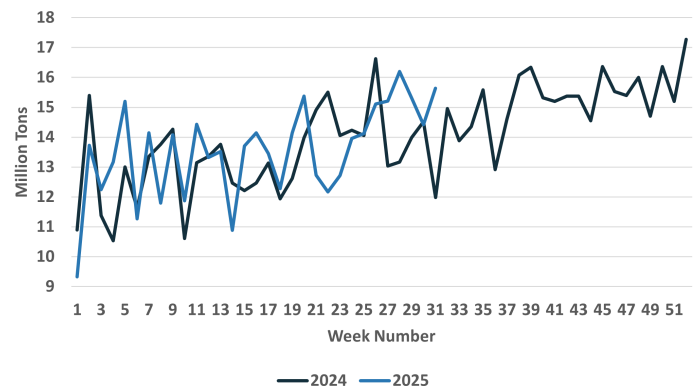
The market correction has begun, and the fundamental backdrop for coal demand in the Pacific is expected to worsen. The TA index is likely to fall back to trade closer in value to the Pacific indices, as that always happens after an overshoot like the one that has happened in the last weeks.

The spread between the Atlantic and Pacific remains high, so the Atlantic is likely to correct further (top left chart). Coal demand has been very strong through the summer, with loadings in 4 of the last 5 weeks a seasonal record. The monsoon in India and cooling temperatures in Asia are the two main factors pointing to faltering momentum going forward. Otherwise, congestion in ECSAM remains relatively high, and although the seasonal peak in shipment volumes is likely past, activity could remain higher than usual as Trump's unpredictable trade policies raise demand for forward coverage out of that region. The flipside of that is that the US grain season could be less active than usual.

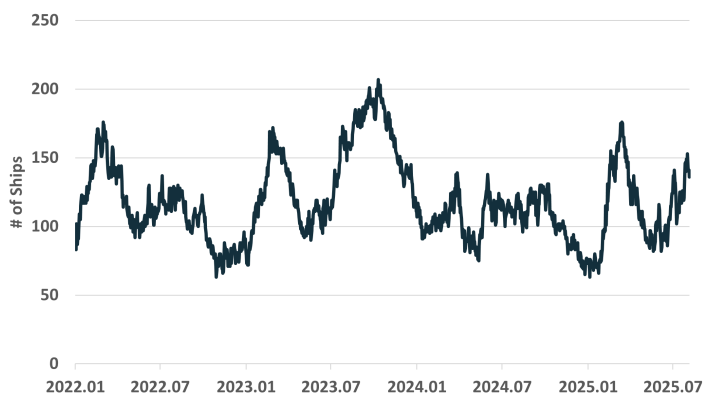
Panamax Atlantic vs Pacific Index



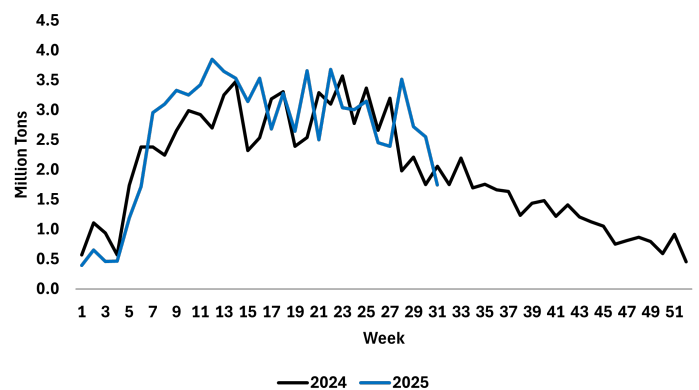
Panamax/Kamsarmax Coal Shipment Volumes, 2024 vs 2025



Panamax / Kamsarmax Argentina and Brazil Congestion



Panamax / Kamsarmax Brazil Soybeans Loadings 24 vs 25



Supramax/Ultramax

Last week, we wrote:

The Kamsarmax market has started to fall in the Pacific, so the Ultramax market is likely to follow. However, such a divergence might last for several weeks before the correction happens.

Total shipment volumes in the Supra/Ultra segment are flat on last year, and the fleet has grown by 5% on last year. We think the Ultramax index eventually will fall back to the low teens, assuming we are correct in our fundamental outlook, which is that demand growth will not sustainably improve before next year.

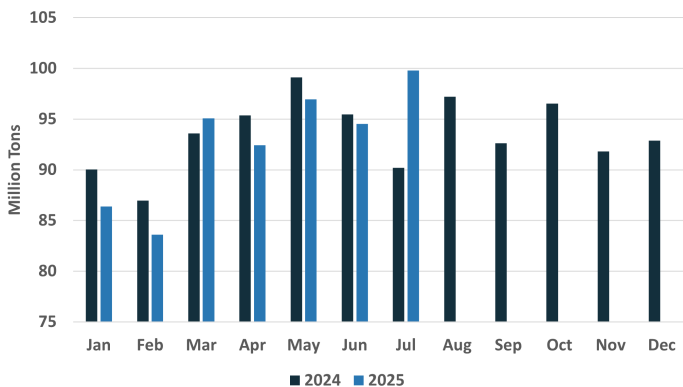
Total shipment volumes in July ended at all-time highs. The month marked a dramatic change from what the first six months of the year brought, as year-on-year volume growth averaged -2.1% through that period, whereas July shipments ended 11% higher than in July last year. The month-on-month increase in shipment volume growth was the highest in at least the last ten years.

PMI reports for July were released this week, and it is apparent from those reports that front-running Trump's tariffs has been a major driver of global manufacturing activity in the last months.

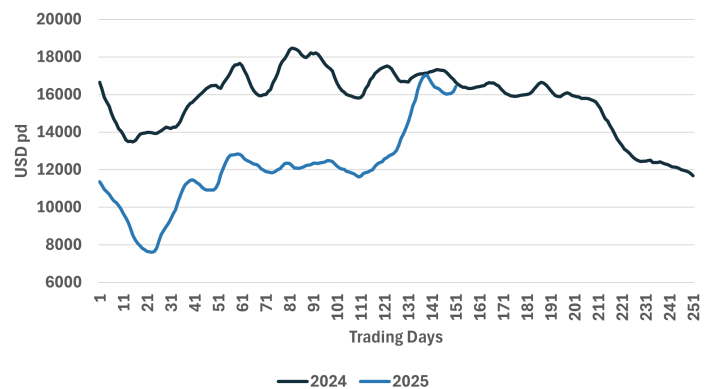
The problem with "front-running" is that there will be a negative counter-effect to it at a later stage...

However, the high shipment volumes in July ensure some tightness will remain in the near term as it takes time for vessels to complete voyages. Further, it is hard to say how long front-running will continue before it is exhausted.

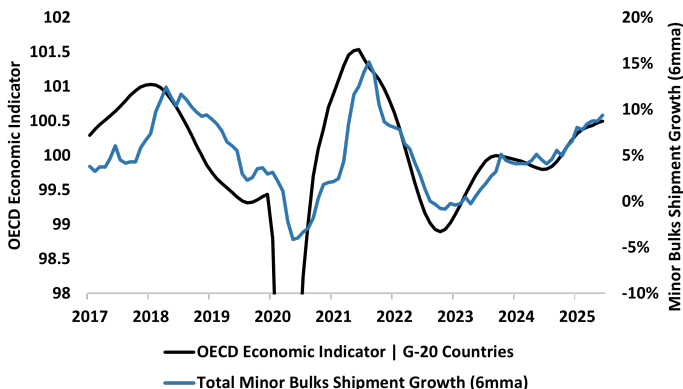
Supramax Ultramax Monthly Total Loadings 2024 vs 2025



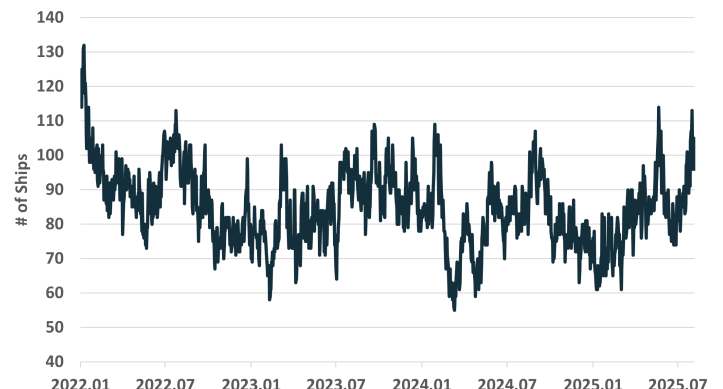
Ultramax Index 2024 vs 2025



OECD Economic Growth Index vs Total Minor Bulks Shipment Growth (All Segments)



Supramax Ultramax Argentina and Brazil Congestion





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